Drishan Banerjee

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Education

Ph.D. Economics, University of California, Santa Cruz, expected 2027
Fields: Macroeconomics, International Economics, International Finance, Climate Finance.

M.S. Economics, Indira Gandhi Institute of Development Research (IGIDR), Mumbai
GPA: 3.98/4.00, Chancellor's Gold Medal, 2022.

B.S. Economics, Presidency University, Kolkata
GPA: 9.2/10.0, 2020.

Research

Job Market Paper

- **Over the Hills and Far Away: Macroprudential Policy and Firm Foreign Exchange Exposure**

  Macroprudential policy that shores up domestic banks may leave firms more exposed to external risk. Using balance sheet data for Indian non-financial firms, I show that when macroprudential measures tighten domestic credit, bank-dependent firms substitute toward foreign currency borrowing. Firms holding more foreign currency debt then suffer larger losses and a higher likelihood of distress when the rupee depreciates. To analyze the welfare implications, I build a two-sector model in which both banks and firms can default that can capture the trade-off between bank resilience and firm fragility. Calibrated to India, the welfare-maximizing capital requirement is close to the Reserve Bank of India's current minimum.

Working Papers

- **This Time Is (Mostly) Different: U.S. Tightening Cycles and Global Resilience in the 1980s vs 2020s** *(with Galina Hale & Harrison Shieh)*

  NBER Working Paper No. 35673; CEPR Discussion Paper No. 21874.

  Media: covered in the *Financial Times*; NBER Featured Working Paper (NBER homepage), October 2026.

  Presented at: XXVII Annual Conference of the Central Bank of Chile, Santiago, 2024*; Western Economic Association International Annual Meeting, San Francisco, 2025*; CEPR International Macroeconomics and Finance Programme Meeting, 2026*.

  Post-pandemic inflation raised fears that U.S. monetary tightening would trigger a repeat of the 1982 sudden stop in capital flows to emerging economies. Yet as of 2026 no global recession has followed. We establish three stylized facts distinguishing the 1980s from the 2020s, beyond the shift to flexible exchange rates: monetary policy effectiveness, fiscal space, and external vulnerabilities. We rationalize them in a Mundell-Fleming framework with a fiscal space constraint, which predicts a central role for fiscal space in transmitting foreign currency risk-free rate increases. Cross-country evidence confirms that fiscal space

shapes economic performance post-tightening.

Work in Progress

- **Cost-Benefit Analysis of Coastal Adaptation Measures to Reduce Storm-Related Flood Risks in California** *(with Galina Hale, Borja Reguero, Brook Constanz & Piyush Gandhi)*

  This paper develops a methodology to evaluate the costs and benefits of climate adaptation policies for coastal assets, applied to regions in Santa Cruz, Ventura, and Half Moon Bay, California. We classify flood-affected assets into specific classes and apply class-specific valuation methods, including hedonic pricing, rent-to-revenue imputation, and input-output analysis. Using flood scenarios from the COSMOS-Adapt model, we fit a Pareto distribution to total losses to derive probability-value-at-risk (pVaR) measures and willingness-to-pay (WTP) estimates from a CRRA utility framework. We compare WTP against the unit costs of six adaptation strategies (seawalls, beach nourishment, levees, groins, managed retreat, and dune restoration) to produce traditional and WTP-based benefit-cost ratios. Our framework shows that uncertainty-adjusted analysis substantially alters the cost-benefit calculus relative to conventional expected-damage approaches, with implications for adaptation finance and policy design.

- **Sovereign Risk Connectedness and the Factors Behind Them**

  This paper uses connectedness measures developed in the finance literature to analyze sovereign risk networks of emerging and advanced economies. Using mixed-frequency data, I decompose sovereign bond yields into observed common and country-specific factors and unobserved idiosyncratic factors, and apply elastic net regularization (LASSO and ridge) to estimate high-dimensional network adjacency matrices in the presence of sparsity and multicollinearity. Network analysis of these factors reveals important linkages and dependencies between country groups that can be used for financial stability monitoring.

- **Religiosity, Financial Development and Growth** *(with Siong Hook Law & Nirvikar Singh)*

  This paper uses cross-country panel data to examine whether and how religiosity affects the relationship between financial development and growth. Building on previous work that found a nonlinear relationship between financialization and growth (beyond a point, high levels of financialization were associated with lower growth), we find that this relationship is affected by the level of religiosity. The nonlinear relationship is present for advanced economies and for "secular" emerging economies, but not for "devout" emerging economies, even at similar levels of financialization.

*Presented by coauthor.

Awards and Fellowships

- Eileen Brooks Memorial Award for Best Second-Year Paper (Runner-Up), UCSC, 2024.
- Best Teaching Assistant Award, Department of Economics, UCSC, Fall 2022 and Fall 2024.
- Regents Fellowship, UCSC, 2022.
- Chancellor's Gold Medal for highest GPA in M.S. Economics, IGIDR, 2022.

Research Experience

- Graduate Student Researcher, University of California, Santa Cruz, 2023–2026 *(for Galina Hale, Borja Reguero & Nirvikar Singh).*
- Research Assistant, Indira Gandhi Institute of Development Research, Mumbai, 2022 *(for Rajeswari Sengupta).*
- Graduate Research Intern, Department of Economic and Policy Research, Reserve Bank of India, 2021.

Teaching Experience

Instructor of Record at UCSC

- ECON 294A(R) – Applied Economics and Finance Laboratory (Graduate), 2026.
- ECON 2 – Introductory Macroeconomics (Undergraduate), 2025, 2026.

Teaching Assistant at UCSC

- ECON 233 – Finance (Graduate), 2025.
- ECON 100A – Intermediate Microeconomics (Undergraduate), 2025.
- ECON 2 – Introductory Macroeconomics (Undergraduate), 2024, 2026.
- ECON 113 – Introductory Econometrics (Undergraduate), 2023, 2024.
- ECON 101 – Managerial Economics (Undergraduate), 2024.
- COWL 52 – Personal Finance (Undergraduate), 2023.
- ECON 197 – Economic Rhetoric (Undergraduate), 2023.
- ECON 126 – Why Economies Succeed or Fail (Undergraduate), 2022.

Professional Service

- Referee: *Journal of International Money and Finance*; *Review of World Economics*; *Scientific Reports* (Springer Nature).

Miscellaneous

Computer Skills Stata, R, MATLAB, Python, LaTeX

Languages English, Bengali, Hindi (all fluent)

References

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